



“No one is worried about a recession in India. They’re worried about costs. Most manufacturing firms have had to deal with relatively high costs”

OMKAR GOSWAMI
FOUNDER, CERG ADVISORY



“The government and RBI have taken substantial steps both on the supply and the demand side, and therefore we might see inflation having peaked”

RAJIV KUMAR
EX-VICE CHAIRMAN, NITI AAYOG



“The domestic situation is good on the sales or revenue side. The problem is in input costs. Apart from fuel, coal has been a big problem for steel users, for instance”

ABHEEK BARUA
CHIEF ECONOMIST AND EXECUTIVE VICE PRESIDENT, HDFC BANK



“With commodity prices having corrected, this would be a net positive for the Indian economy and possibly would result in better confidence in Q2FY23”

ADITI NAYAR
CHIEF ECONOMIST, ICRA LIMITED

MANY OF THE CONCERNS OF THE FIRST QUARTER ARE GETTING MODERATED NOW ESPECIALLY BECAUSE OF THE FALL IN COMMODITY PRICES, SAY ECONOMISTS

Says Kumar: “This time the inflation is not so much about excess demand but about disruption in supply. And monetary policy, interest rate hike, etc. work only in curbing excess demand. Having said that, I feel the government and RBI have taken substantial steps both on the supply and the demand side, and therefore we might see inflation having peaked.”

In fact, the economists say that many of the concerns of the first quarter are getting moderated now especially because of the fall in commodity prices, because crude oil prices have softened considerably in recent weeks, and because the RBI has taken measures to fight inflation, which seem to be working.

On the other hand, the increasing gap between imports and exports (*see chart ‘The Trade Deficit is Widening...’*) does cause some concern, despite the notion that a low current account deficit is actually good for the economy because it means less inflow of money into the system and, therefore, less impact on inflation. “It depends on the size of the trade deficit,” says Goswami of CERG Advisory. “If you have a balance of payments (BOP) deficit that crosses 2.5 per cent of GDP, which it has, then there is a concern. As long as trade is increasing, a marginal trade deficit of half a per cent or even 1 per cent of GDP is not a big deal. But our trade deficit and BOP deficit are now becoming larger. So, there is a concern.”

ICRA’s Nayar, though, is slightly more positive: “With commodity prices coming down, the trade deficit should now be somewhat smaller than what it was earlier, although weaker global growth would dampen exports. That is also a positive going ahead. For the balance of payments, we are expecting a deficit in FY23. But specifically to FII outflows, the worst will certainly be behind us. Even the rupee may now enter a period of consolidation, and subsequently if global sentiment improves, we could see a mild appreciation as well.”

What the economists agree on, across the board, is the economic situation in the US. The 75 bps interest rate hike by US Fed Chair Jerome Powell was on expected lines, and he did say he did not believe the US is currently in a recession. But Indian economists believe the country is certainly headed that way. (Caveat: These interviews were taken before Powell’s announcements.) Says Kumar: “The US will most likely slip into a recession. That is because the Fed acted too late and now will go the other way.” Adds Barua of HDFC Bank: “Even if it’s not a deep recession, there will be a shallow recession.” That will certainly impact US market demand for Indian companies engaged in business in that country.

But back home, all metrics point towards slow improvement in the ground situation and, hopefully, a much improved business sentiment next time. **BT**